April 6, 2025

Liberation Day Becomes Liquidation Days

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This week's video goes through the historic market selloff triggered by the long-awaited Liberation Day tariff announcement from the Trump administration. The move, perceived as abrupt and lacking a clear framework, shook investors and brings comparisons to the 1930 Smoot-Hawley Tariffs that deepened the Great Depression. With no forward guidance and significantly higher-than-expected rates, markets responded violently: the S&P 500 suffered its fourth-largest two-day drop in 75 years, the VIX surged over 100%, and junk bonds experienced their worst rout since COVID. The fear of prolonged trade disruptions and retaliation—particularly from China—has led to concerns about a severe global slowdown and recession risk.

The tariff decision and market reaction from last week are now history. What matters from here is putting in a game plan for the future. For that, I go through: 1) what is already discounted by current price levels based on history. Forecasts on the economy and EPS growth are useless at this point—moments like this have happened throughout the last century, and I look at where we are in that context. 2) Given this has been short and sharp, the economic damage so far is limited. That means we must look for when the pressure forces a change in tone—and watch closely for that shift. Many of the President's campaign promises are now at risk because they depend on no job losses and global cooperation. I also explore the implications of global trade in the context of the AI race.

Since the GFC, every selloff—including during COVID—has led to a violent reversal once leaders recognize this is a globally levered house of cards built on high levels of debt and deficits. We should all accept that tariffs are here to stay, but the negotiations and off-ramps will be impacted by investors reactions regardless of what is in the papers—just as they have been since the GFC, which saw U.S. debt rise from $9 trillion to where it stands today at $36 trillion.

Despite the chaos in traditional markets, Bitcoin emerged as a relative winner, outperforming equities and demonstrating signs of decoupling from the broader market. In my opinion, there is no turning back from last week. The global order has changed with regard to trade and the challenges of owning reserve currency status. The new economy will be based on digital payments, and Bitcoin's "outside the system" nature—free from tariffs and geopolitical entanglements—makes it a compelling asset in a world facing trade wars, supply chain fragility, and growing distrust in legacy systems. The video also touches on the increasing role of stablecoins and the digitalization of the economy, highlighting how these technologies offer faster, more efficient global transactions. If there are no tariff negotiations, the levered fiat system will continue to unwind until another round of money printing—making diversification, especially into digital assets, more important than ever.

Watch the full video here

- **(00:00–00:38) "Liberation Day" turns into mass liquidation:**
  - Markets sold off sharply following an unexpected tariff announcement.
  - Panic indicators triggered; the environment now resembles past recessionary sell-offs.
- **(00:38–01:50) Three triggers of the selloff:**
  - Tariffs were higher than expected

    - Lack of a clear formula or explanation behind the numbers.
    - Uncertainty around how long these tariffs will remain in place.
- **(01:50–04:30) Historical context:**
    - Compares current trade policy to Smoot-Hawley tariffs (1930), which deepened the Great Depression.
    - Suggests the current policy may lead to similar economic pain if not reversed.
- **(04:30–06:36) Market chaos and policy missteps:**
    - Steven Mirren's research suggests gradual tariffs reduce market volatility, but Trump's were abrupt.
    - S&P's 2-day drop was the 4th worst in 75 years, highlighting a "historic" market moment.
- **(06:36–09:22) Signs of recession fears:**
    - Consumer discretionary vs. staples ratio dropped sharply.
    - Hedge funds and momentum trades unwound globally.
    - VIX spiked 109% in one week; junk bonds saw their worst drop since COVID.
- **(11:06–15:27) Recession risk growing:**
    - Market fears a deep slowdown unless jobs data worsens significantly.
    - Banks now forecasting negative real US GDP growth from tariffs.
- **(17:05–20:57) Fragile supply chains & geopolitical consequences:**
    - Tariffs may backfire, leading to more global retaliations (e.g., China's rare earth restrictions).
    - MAG7 stocks highly exposed due to international revenue and China dependency.
- **(22:29–24:01) Systemic risk without job losses—yet:**
    - Despite market turmoil, jobless claims remain stable.
    - But a job market deterioration would signal the next leg down.
- **(32:25–38:53) Bitcoin's resilience & decoupling:**
    - Bitcoin outperformed the S&P 500 despite the market carnage.
    - Highlighted as "outside the system" and a potential neutral reserve currency.
    - Tariff-free, decentralized nature seen as an advantage in a fractured trade world.
- **(38:53–41:54) Digital future & policy crossroads:**
    - Stablecoins seen as essential infrastructure for a digitized economy.
    - Bitcoin continues to gather global momentum amid each crisis.
    - Outlook depends on jobs and potential tax cuts—could shift sentiment quickly.

Please find the video here: https://youtu.be/YthSHhrZKKg

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